

This is a highly favorable wager, and Mr. Kelly suggests we invest over 88 percent of our available bankroll on this investment. That was easy. Let us examine a more painful scenario.

What do we do if cash flows of the gas station dropped off dramatically after we bought because oil went to \$150 a barrel? Now the gas station is producing just \$20,000 per year in free cash flow. About six months after our purchase, someone offers to take the gas station off our hands for \$150,000. Should we sell?

Businesses are living entities that go through ups and downs just like humans do. We don't know exactly how the future is likely to unfold. In this case, oil went from \$50 a barrel when we bought the gas station to over \$150 a barrel, leading to big declines in volume and revenue. It is best to give the business some time to adapt to this change. Oil might come back down, the consumer might eventually get used to the price, or maybe the government comes up with a subsidy. A critical rule of chakravyuh traversal is that *any stock that you buy cannot be sold at a loss within two to three years of buying it unless you can say with a high degree of certainty that current intrinsic value is less than the current price the market is offering.*

If we apply this rule to our gas station, the present intrinsic value is likely around \$200,000 or higher. It is a no-brainer to pass on the \$150,000 offer. Secondly, you cannot nail intrinsic value with a high degree of certainty. Intrinsic value looks like it is at least \$200,000, but could easily go back to \$1 million if oil prices get back to where they were. Our future estimate of intrinsic value is likely a range between \$200,000 and \$1,000,000. The gas station cannot be sold at a loss today for three reasons:

1. It has been less than two to three years since we bought.
2. We are unable to come up with a realistic intrinsic value with a very high degree of certainty.
3. Present offered price is well below our conservative estimate of present intrinsic value.

As a corollary, the only time a stock can be sold at a loss within two to three years of buying it is when both of the following conditions are satisfied: